More Market Bloodshed To Come? | Michael Lebowitz

Podcast: Thoughtful Money

AI Executive Summary

1. Core Thesis Adam Taggart and Michael Liebowitz characterize yesterday’s market volatility primarily as a technical unwind driven by hedge fund leverage issues and election-related position rebalancing rather than a fundamental "AI bubble burst" or policy-induced economic collapse. They maintain that the broader market trend remains upward for the remainder of the year due to the need for buyback activity and rebalancing, despite near-term volatility. The episode emphasizes a balanced approach combining equities with fixed income (specifically locking in bond yields around 5%) to reduce portfolio risk and protect capital goals, while warning investors against overreacting to single-day market events or political uncertainty.

2. Key Arguments & Data

3. **Market Volatility Trigger:** The recent sharp decline was caused by technical unwinding of positions and margin calls among leveraged hedge funds following the election rather than a fundamental shift in policy or economic data. There is no evidence that major data center legislation will halt construction; capital may be shifting locations (Mexico/Canada) but global demand remains high.
4. **AI & Growth Valuations:** While there was fear of a tech sector bubble, fundamental earnings forecasts have not collapsed. The NASDAQ's drop to ~15% from its annual high is viewed as consolidation rather than a full correction. The market has been grinding due to heavy rotation between growth and value sectors.
5. **Fixed Income & Yield Strategy:** The 10-year Treasury yield hit a multi-month low (~4.8%), suggesting price bottoms for the bond market despite expectations of Fed hikes later in the year. There is strong demand for bonds yielding over 5%. Michael Liebowitz uses a "Field Goal" analogy to advise investors to lock in current high yields (approx. 5%) as a safety net, arguing that holding through volatility offers better risk-reward than chasing equity outperformance with higher risk (60-40 equity/bond split).

6. **Technical Indicators:** The S&P 500 is hovering around the 200-day moving average with an oversold RSI and MACD suggesting a potential technical bounce. The Equal Weight Index was down ~3%, indicating a broader market weakness rather than just tech-led. Capital rotation models show Mega Cap Growth (XLK) as very oversold while Large Cap Value (VTV) is gaining relative strength, but extremes in these sectors are not expected to hold long.
7. **Credit Spreads & Liquidity:** Corporate credit spreads for Triple B bonds have risen to 116bps over the Treasury yield, marking an upper-end range for the last three months but historically average over five years. Single B and Triple C spreads show signs of widening, indicating potential systemic liquidity strain similar to 2019 concerns, though this does not currently warrant immediate portfolio downsizing.
8. **Municipal Bonds:** Muni bonds remain attractive due to tax-exempt status (federal and state in some states), offering tax-equivalent yields of 5-5.5% compared to Treasuries at lower yields. However, they are less liquid than corporates with wider bid/offer spreads; investors should assess issuer-specific risk rather than just yield differentials.
9. **Portfolio Performance:** The firm's Factor Rotation model (mixing growth and value based on technicals) is up 26% this year compared to the S&P 500's ~7.5-8%. This outperformance is attributed to active management reducing risk through diversification and sector rotation.

10. **Personal Philosophy:** The host advocates for investing in "quality relationships, purpose, and health" alongside finances, highlighting a client story involving an aptitude test (Johnson O'Connor) that led to meaningful professional opportunities.

11. Actionable Takeaways

12. **Maintain Composure:** Avoid reacting emotionally to the election's outcome or single-day market drops; give events 2-4 weeks to settle out before making major fundamental conclusions. Expect volatility as a "one-off" given historical election trading patterns.
13. **Lock in Yield Exposure:** If you do not already have bond exposure, consider increasing it (targeting ~40% allocation or adding specific

instruments). Using current yields (~5%) allows you to "kick the field goal" on retirement goals, reducing risk compared to aggressive equity chasing.

14. **Monitor Liquidity & Spreads:** Track credit spreads (Triple B and Triple C) closely for signs of liquidity strain. If spreads widen significantly beyond historical norms, consider rebalancing toward safety. Check bid/offer spreads on municipal bonds as they are less liquid than corporate bonds.
15. **Factor Rotation Strategy:** Implement a Growth/Value rotation model (like the Simplisys tool mentioned). Sell overbought sectors (Mega Cap Growth) and add to oversold ones (Large Cap Value/Healthcare/Staples) based on technical scores rather than long-term sentiment.
16. **Use Technical Support Levels:** Keep the S&P 200-day moving average as a key level of support; watch if the market breaks through it, which could signal a regime change requiring further hedging.
17. **Seek Professional Guidance:** Do not navigate this complexity alone. If unsure about bond valuation or muni selection (due to tax implications and liquidity), consult an advisor with institutional tools for portfolio construction.

Full Transcript

Generally, I do think we trend upward through the rest of the year. A lot of buybacks need to happen, rebalancing. There's reasons for it to go upward. Plenty of reasons I could say could go downward too. I'm more worried about next year than the next couple months. Welcome to Thoughtful Money. I'm Thoughtful Money founder and your host Adam Taggart. Welcome you here at the end of the week. For another weekly market recap, this time featuring my good friend, the ex-anguinated portfolio manager, Michael Liebowitz. Mike, how are you doing? I'm doing great. What did you say? Ex-anguinated? Ex-anguinated.

What does that mean? It means all the blood's been removed. So we had a massive bloodletting yesterday in the markets. And I got a number of questions for you, Michael, but I think the one that's just on everybody's mind is what the heck just happened. So we'll talk about that in a second. Our good friend Lance is away today, so Michael is stepping in. But yeah, Michael, you know what, S&P down over 4%, NASDAQ down nearly six. It was a hell of a day. We're seeing a little bit of a recovery here on Friday. But what went in your mind was the trigger. I know Lance is always telling us that we always try to ascribe some sort of narrative to market forces. A lot of times, it's not really the full explanation. But what is the current thinking on the street for why this bloodletting happened yesterday? So I think first of all, it's important to understand that.

people, investors, especially institutional investors invest going into the election thinking things are going to whatever their thoughts are what's going to happen. The event occurs and then there's a period where traders have to rebalance where they have to hedge where they have to buy where they have to sell where they have in a lot of cases unwind hedges right that they put on before the unwind or ad hedges it you know all depends on which way they're leaning. And so usually after a known event where people have been preparing for it, like an employment number, CPI, a Fed meeting, the election, you get some sort of unwind of some of those trades or add-ons to some of those trades. So you should always expect some

volatility going into event, whether the event goes off exactly as people thought or completely different.

So so just to add to the the cauldron there was a ready Kind of some volatility built in and I think what happened was we had the sharp move up on Wednesday and Then the sharp move down and in the process a lot of hedge funds got caught off-size one way or the other and it and with that sell-off it looks like A hedge fund went belly up or was forced to cover margin. Could have been more than one. You know, I've heard rumors. There have been about 10 names floating around. I honestly have no idea who it is, if it is someone, but there are some hallmarks that lead us to believe that that's the case. And first of all, fundamentally, Not much on an investment perspective, not much has changed with the election, specifically around AI. The Democrats have, many of them have publicly stated they think we should slow down the build-out. They're voicing what they're hearing from their voters. The Republicans have been doing this too. Governor Abbott in Texas, Texas is the first or second biggest day for data centers, already put a freeze on permits.

The new governor is saying that everything under construction will go. She just wants to review the process. So in the state of Texas, there may be changes in other areas, but with data centers, it seems to be kind of that same legislative track that it was on. And I think that's true for many other places. So to blame the tech rec. or whatever you want to call it, what happened yesterday on, there are going to be no more data centers, I think is kind of is not correct. We're going to have data centers. They're far too valuable. And if we don't, they'll be in Mexico or Canada or somewhere else. They will get built. And, you know, at the Senate and House level, It's hard for them. A lot of that is more local jurisdiction, whether it's county or state. So a lot of those AI data center decisions come from that level, not the Senate or the House or even the executive branch. So fundamentally, I'm not sure much changed from what we knew before the election to afterwards. Can I ask a question around that? So I think the I think it's fair to say that the blue wave was larger than most people expected. So in other words, I think going in, folks thought that the Democrats were going to take the House, but it was unclear they were going to take the Senate. They took the Senate much more than folks expected. But they went a lot more

governorships than folks expected. And there to your point, yeah, the data centers are still going to get built. But I think on the margin, Wall Street might be saying, yeah, but it's going to be even slower going forward than the resistance we thought because more of these Democrat people who ran on a, I'm really concerned about data center platform, got in. So again, it's not that the data centers are not going to get built. I mean, to your point, even if it's not here, it might be in other neighboring countries, but that's slowing the CapEx build out.

And because the AI is such a huge part of both the markets and the economy, even a slow, even a 20% ratcheting down in the build-out schedule, that's going to have pretty material market implications, won't it? Maybe. They can't build them fast enough as is. So there's such a backlog of demand for data centers. I'm not sure. And there's so many in the progress of being built. I'm really not sure of that story. You could be right. but it's one of those wait and sees. And this is, you know, this pressure on data center buildouts is not just Democrat, it's not blue. No, I know. It's both sides. Right. So that's, my point is not necessarily, it's just that what we knew before the election and what we knew after, in my mind is not material or materially different. And that's what matters. If the market knew it before, it was priced in.

So what really changed, and that's where I think it was much more technical unwinding of positions, margin calls, whatever triggered it. So then you look for more technical evidence. If this was really a crash, the beginning of a real crash in the market, especially focused on technology, bonds would have done much better yesterday on Wednesday when the market got hit hard. Bonds were up a little. But it wasn't anything spectacular. Gold was OK. I would have expected to see more either up or down, but not kind of flat-ish gold. The dollar was relatively unchanged. So you didn't see it in other parts of the market where you typically see a bigger reaction. Like a demand for state payment. Could be. Right. Wednesday could be the beginning of the.

the bubble in AI crashing like everyone you know like so many people are warning about but there's very little evidence and all this kind of the way it all happened around the election and and just leads me to believe that this

was a technical issue. Okay so let me ask a couple questions around this you know based on some rumors and stuff or just narratives that are going along but first would not surprise I think most people to find out that there was a big hedge fund or several that got caught with their pants down and were forced to liquidate. And that's why things were just so relentless yesterday. But presumably there had to be some sort of instigation, some sort of trade where they realized, oh my gosh, we're way underwater on this trade. Do we have any sense of what could have started that?

So maybe it would have been a down 50 basis points kind of day, except these guys found themselves over leveraged and on the wrong side. And then things cascaded down from there. But what do you think was the trade that they might have been on the wrong side of that then started forcing them to sell? AI, but not the hyperscalars. the build out of AI. And if you go back and look at Wednesday, right, Thursday was the blow up. Wednesday was the day the market was up a lot. The hyperscalers, Amazon, Microsoft, et cetera, they were up five, six, seven Amazon. They were up five, six, seven percent. Those, the chip makers, the like Caterpillar, those companies were flat to lower. So there was already pressure.

in those sectors. They had grossly underperformed the day before. So there was already, and they had been declining, they had been just out of favor. They've been out of favor for a little while. So, you know, go back to that situational awareness fund that blew up, what was that, two months ago? They blew up, but on the other side there was, who bought it all? Citadel? Citadel? bought all their securities at a discount. My guess is that there were hedge funds that knew that there were that there were hedge funds off sides and were purposely shorting or selling or pushing some of those stocks down and it kind of created more of an avalanche than just one firm relenting. So, you know, I think we have to be careful assigning fundamental political rationales to something that I think at least at this point, and look, no one knows for sure. Well, there may be a few people who know for sure, but from what we know, what I think this is much more technical than it is anything other than that. Okay. So there are some people out there that are claiming, all right, look, the AI bubble had burst and now it's going to the next couple of months, quarters, maybe the unwind of that. We don't know yet necessarily, but one of the things that they're saying, at

least as of the end of yesterday, was the Nasdaq's down 15-plus percent from its all-time high this year. That's already getting close to official correction territory. They're sort of saying, look, it's in process. It's not that we're We're trying to make a prediction of what's going to happen tomorrow. We're looking in the review mirror now and saying, look, enough damage has been done here that we're starting to say that we're official corrections not too far away. What's your thinking on that? Have earnings forecast collapsed? Have they changed? No. So you could say it was overbought technically. And it was. We got a correction.

I don't, you know, first of all, you have to, when you, you can't just say, okay, it's down 10, 15, 20%, it's in a bear market, right? Because if you take a utility stock down 20% with a very low beta, that's a lot more meaningful than Intel, which is up, what were they up? 3, 400% for the year? Down 50%. So, you know, the NASDAQ, is much more volatile than the S&P than the Dow, than the utility or staple sector. So 15% for the NASDAQ is meaningful, but it's not the end of the world. It's not necessarily a correction. It's a consolidation. I think what they're saying is we're getting growing confidence the top is in on this mega trend and we'll see what happens from here. But again, some people are sticking their necks out and saying, hey, we're not going to make a new high here. Obviously, nobody knows exactly what the future lies. It sounds like you're not at this point willing to entertain anything like that, at least until you see earnings estimates start to get compromised. Is that a fair assessment?

Or if, to your point, there's new legislation that the Senate, the House, and the President are all agreeing on that would slow down data center growth. Or some other news event that we don't know. But right now, this just really just feels like the market doing its thing and everyone wants to assign some kind of narrative to it. So many people want to say AI is in a bubble. And there are certainly some stocks that are in a bubble. But these companies, these hyperscalers, they're making so much money outside of AI. They can support this. That doesn't mean every company will make it. A lot of companies won't make it. But when you want to call the top on that, right now it seems a little premature. But again, You know, this is why we use technicals. If we're wrong, we'll see more technical breakdown. We will take action for our client's portfolios. But right now, there's very little to see

other than a short burst of volatility. OK. So one of the things that is defined this year has been the rotation of capital between growth and value. And that's something that you and Lance have talked a lot about.

on this channel, and you've been trading based on that when you think the pendulum gets too far one way. You start lightening up and then adding up on the other side, anticipating the swing back. One of the things I found interesting about yesterday was I thought it was going to be the tech sector really driving all the action. There was some concern about tech that was pulling everything down, and obviously the tech names got totally battered. But when you looked at the Equal Weight Index, it got pretty battered too. Yeah, I think the S&P was down a little over 4, like I said, but I think the market cap S&P was down a little over 4%, but the equal weight S&P was down over 3%, I think, or close to that. What do you take from that, that it was kind of a broad-based sell-off versus just a tech sector sell-off? So you're right, in the morning it was all tech. So the heat map was half green, half red. But you're right, as the day went on, as the losses became greater, those greens turned red. And tech led the way. Value outperformed versus the S&P, but they were all down by a good amount. I think the Dow was down 3%. So you're right. You were kind of talking smack about gold not doing much, but in the day where there wasn't really any other place to hide, flat is better than down 3%. No, and my point about gold was if this is the beginning of something real, I think it would be either a lot of money would gravitate to it, like bonds. I would have expected gold and bonds to be up decently. Because you would have expected a flight to safety, capital just rushing for. Correct. And the dollar too. And we didn't see any of that. But to your point, and this is kind of the first time we've seen the heat map all red. It's either half green, half red on one side or the other. So that is something to take away from that.

But one day certainly does not make any kind of trend, especially after a big event and with all that positioning that went into it for months beforehand. Agreed. But I'm just curious, what do you think? Does that tell you anything about the state of the market if everything sells off on a day when everybody gets spooked? One day doesn't. One day is one day. I think people got spooked market. you know, market's holding in today. S&P's up almost a percent. Nasdaq's doing better. Dow is down or flat or whatever it

is. So you got a little bit of a reversal. Let's see how it does Monday, Tuesday. It's quite possible we come back, come in on Monday and it just starts selling off again. And if it's selling off where it's all the whole market's selling off, that may start to tell us that there's a regime change. And that you know, we need to keep an eye on our, because we're sitting at the 200 day moving average. That's a key level. So, you know, if we come in down decently Monday, we're breaking through the 200, that may change the way we approach the market, especially if everything is red versus the old half and half that we've become used to. Okay. And look, I'm not trying to sell a narrative or an outcome here.

probing to try to get a clearer sense of how you see it. And I will say a number of people that have had on this channel, even those that are maybe kind of quite bearish for 2027. But I would say the majority of folks that I've interviewed recently think that things are more set up for a strong end to the year. So I don't think it would surprise folks like that to see that today was sort of a one offer. you know, there's not too much follow-through and then for a variety of reasons stocks start to power higher into the end of the year, especially because we have the uncertainty of the elections now behind us. So again, I'm not trying to force you to say, oh, I think things are going to hell in a handbasket right now. I'm just trying to clarify. No, and generally, I do think we trend upward through the rest of the year. A lot of buybacks need to happen, rebalancing.

Reasons for it to go upward. Plenty of reasons I can say it could go downward too. I'm more worried about next year than the next couple months. Next year is when the interest rate increases we've had over the last five months, start having a bigger and bigger impact. But right now, I think the trend is generally higher, but we're sitting on a 200-day moving average and we need to pay attention to that. and what that tells us. Like you said, I think it's important to note that everything was read yesterday. So is that just one day blip or is there more to it? Those are the things we'll pay attention to over the next week or two. All right. I think I heard you intimate this at least, but let's just clarify it. Nothing that you saw yesterday or even this whole week has caused you at RAAU and Lance portfolio allocation-wise to make any immediate changes to the portfolio, correct? Well, on Monday, we did make changes to the portfolio. That was in advance,

obviously, of the election result. In advance. I don't know what had happened. In advance. No, right now, there's really nothing other than adjusting exposure.

to tech to value or just reducing exposure or adding exposure Kind of more broad macro portfolio management. There's nothing in particular that we're really focused on that we want to make sure we add or subtract exposure from you know individual sectors or companies Related to the election. Okay, so I just want to put some words in your mouth and change them if you don't like them but to somebody who looked at yesterday and is still kind of triggered and freaked out about it all, you would say, take a breath, take a beat. We need to see more data before we can make any major conclusions here. And we at RIA aren't panicking or making a bunch of radical decisions. Yeah, and I would add to that. Look, you're in a market, you're in investments that can move multiple, you know, a few percent a day. This isn't a bond investment. You are in stocks and and this is what comes with 10 15 20 you know 20 gains year after year there is volatility and you have to be able to watch the volatility have a rational mind about it know when to reduce know when to just say okay let's just see how this plays out it's it's usually dangerous when you have an event to react to react you know unless the event is decidedly different from what was expected or it's an event that no one expected. It can be very dangerous to react to it because, I mean, look at the night Trump won in 2016. The market, when I went to bed, the S&P was down seven, eight percent. They were stopping trading for periods of time. I wake up and the market's on its way to being flat and I think it closed the day flat.

Right it was the end of the world because Trump was gonna win the night before and the next day everything was glory and for the next month the market just rallied so you have to let let all these things kind of sort themselves out over a few days and then Reassess the market so we're still in that period right the election just happened There were some big flows trades that happened big reactions let it settle out a little bit and not get too sensitive to losing a few percent in a day, because the market's still up decently this year. Yeah, I just checked. It's up about eight and a half. The S&P is up about eight and a half since the beginning of the year. Okay, so if you're freaking out yesterday, Michael says, just take a beat, take a breath,

don't panic. I don't think this is the case, but are you looking at any assets after yesterday's bloodletting saying hey we really want to get into these now because it's a better price. So last night Lance and I were talking this was well after the market closed and we both kind of wanted to jump into a couple of the tech stocks that have really gotten creamed. We said okay let's talk first thing in the morning before the market opens and Those stocks were opening up 8, 10%. So we kind of blew our opportunity. We weren't going to add much, but we're just going to add on the margin. So we thought more from the perspective of this again, it's not political, not fundamental. It was just, let's take advantage of what just happened and buy stocks that are already cheap, even cheaper. We did nothing today because the market had already gain back half of those losses from the day before. For those stocks, not for the overall market yet at least. Right. And we're still in that mindset. Let's just give this a few more days. Let's just see how this works itself out before we do anything bigger than just trying to, I mean, we were just going to cherry pick some gains. Nothing, if we went wrong, it wasn't going to be enough to really matter. Right.

That was low insight into how Lance bugs me at six, seven o'clock at night. Six, seven o'clock at night. That's pretty much when Lance goes to bed. Right. I must have been as he was getting in bed, he called me. Yeah. All right. And again, I really appreciate you sharing that transparency, but also just the thought process, because that's the real value of having you guys on here is that people can see how a quality. portfolio manager thinks in real time, especially when things are, you know, emotional in the markets. And Adam, that's kind of the trader in both of us more so than the portfolio manager. We just recognize things got very cheap. Again, doesn't mean they can't get cheaper, but the skew of returns at last night seem much more positive. To the upside. So that's the trader in both of us. Okay. So Today, Michael, the second thing that everybody's talking about beyond what the heck just happened yesterday was the new jobs data, which was really good. It came out beating, I think, every estimate on the street. It was one of these sort of five sigma beats. And kind of every job number was good. Everything from hiring to...

wage growth, the unemployment rate came down. So it definitely seems to show, hey, there really aren't any problems in the job world. And even the

sort of no hire, no fire economy, there's some hiring going on. So it's not a zero hiring economy anymore. Now, you can take some comfort out of that, all right? The economy, should do better potentially as a result of this. At the same time, a lot of chatter that it's going to give the Federal Reserve a lot more air cover to hike. So the probability of rate hikes are going up. That's probably one of the things that's weighing on gold today because when real rates go up, precious metals go down a bit, generally. So how material is this?

Do you guys expect any sort of implications investing-wise coming out of this news? Inmaterial. One month does not make a trend. These numbers have been revised so much lower over the last couple of years that you can't put stock into one month. Even if they have been revised, it's one month, right? You want to see a trend. If we get good job growth for three or four months, if ADP, if JOLTS, if... the ISM surveys start and the federal, the regional fed surveys start telling us that employment growth is getting better. Then yeah, there is a, the labor market's improving, but you know, full me once, we've seen very good job numbers get go negative in, in, you know, as it gets revised down the road with future write downs. Yeah. And look, even if right again, but again, There is volatility in jobs numbers and there's a seasonal aspect and the way they account for the seasons can be very screwy and this year is different from prior years. So, you know, again, if we see it for a few months, I'll change my tone. But right now it's a very stagnant labor market, no hire, no fire, which is fine. But if people start getting laid off, there's really no cushion because no one's hiring.

Again, I don't put much stock into it. The one thing though is it gives the Fed a little more rationale to raise rates at the December, I think it's ninth meeting. But there is another unemployment number before then, and there's CPI next week, and CPI comes out the day after the Fed meeting. My guess is they will know that number when they're talking. Okay, so let's just assume for a moment that the data that they get reaffirms this sort of continued strengthening of the jobs market. If that makes them more likely to hike, and they do, do you expect much to change in terms of asset prices as a result, or do you think it'll all be priced in by then? Priced in now. So, you know, the market...

It's like what an 80 90% chance the Fed's gonna hike so You know barring something big changing price oil drop into 70 The unemployment being revised much lower in next month's unemployment negative I suspect they will hike. That's what they want to do They made that pretty clear why they didn't hike in October I don't know. I don't agree with them, first of all. But if you're very concerned about inflation, I'm not sure why you hike and then you take a month off waiting for a hike that can take many months to impact the economy. So I think they do hike. Again, unless there's something between now and then that goes the other way. And that could include if yesterday was a harbinger of things to come and the market really starts tanking, Fed's not going to hike.

So I got two questions on that. One is, let's say the Fed does hike as expected. Obviously, that brings up short-term rates a little bit. What do you think, if anything, it would do to longer-term rates like the tenure? I think it brings them down. Because the Fed is basically pushing the, it's increasing the odds of disinflation and lower economic growth. So I think we've gone to the point. where the long end is cheering on the Fed to make a policy mistake to keep raising rates. The short end is saying, no, don't, don't, don't just stay where you are. And you have this kind of like an animal house, a devil angel scene where you have one side of the market, you know, begging for the Fed to make a mistake and the other side saying, please don't. So, you know, again, There's a lot of narrative built into bonds. So if the Fed keeps hiking, bonds could keep rising, but that would be my bet is that, and we've seen it already, that bond, the long run has really reacted positively to the last Fed hike and continued expectation that they do one or two more. Okay. So you mentioned yesterday that you would have expected to see more money go into uh, in the bonds. Um, and you didn't see as much, but, uh, yield still went down, 10 years still went down. And I think it hit a new low for the year. If I'm not mistaken. Um, not for the year, not for the year. Okay. But new low for at least a number of months, right? So it was down to like 4.8 and a half or something like that. I was going to say a little lower, but sure. Okay. And maybe even a little, I'm doing this from memory. Um, so there is a fair amount of talk now that, you know, the peak is in for yields. And that, you know, the trajectory going forward is going to be lower for yields not higher, which I think is a song sheet that you and Lance have been singing from, you know, much of this year. I mean, in the

immediate term, could we see a jump back up sure for a little bit, but a lot of folks saying the trajectory is going to be downwards in yields. And again, I believe you feel the same. And I just want to put up a chart here real quick. I'm just going to see if I can do it in real time while we're talking here. Okay, yeah, here it is. Here's the price of the 10-year. So remember that price is inverse to yield. So as price goes up, yields go down. You know, you can see here that things really, that really does look like we put a bottom in in October and you know, pretty definite. I don't really want to call this a cup or whatever.

How confident are you starting to feel that the bottom in yields is in? So just looking at this graph right here, you could see that this thing was steadily downward trending until a couple months ago. And then that trend became much more severe right downward. So all we've done with this rally is kind of get back to where that trend would have taken us. So I'm not convinced that we've seen a bottom or a top in yields. But it is the tone of the market has changed. We don't hear about deficits anymore. We don't hear about the dollar going away as a reserve currency. Some of that negative narrative is starting to fade a little bit. And, you know, we've talked about it before. That term premium is why one of the one of the big reasons why yield spikes so much. The underlying break even inflation data wasn't responsible for nearly that much of a yield increase. So, you're kind of almost asking a little bit of a psychological question. Has the market gone over that narrative? Are deficits no longer in the spotlights? I think we may have bottomed in price topped in yield, but I'm not really...

Overly sold on the yet yet and we could look we could be on our way to 2% yields, but we get a double bottom double bottom is a very in that graph you showed. Or double top in yields that's a. Very common technical signal and very sturdy signal so. You know, I'm not. Waving a victory flag, it certainly looks favorable. And the other part of it is that we've seen the impact of high yields on the hyperscalers, for instance. They're starting to issue equity instead of debt. We know there's a big wall of debt coming, corporate debt coming in the next year or two. Will they issue more equity over debt? So that's alleviating supply in the long end.

whether it's corporate debt or treasury debt, there's less supply because they're issuing equity, which is also showing you that as yields rise, it has impacts on the economy, on other, on the way companies finance themselves, that higher yields beget lower yields. So I think we started to see some of that, but I wouldn't rule out that we're done here, that this is, it's all gravy from here. Okay, so a big question that folks are asking right now is if the peak is in for yields, do we scramble to lock these in? Do you try to lock in in your 5% yield? Yeah, if I knew the peak was in, I'd buy as much as I could. Unfortunately, I don't know that. Nobody ever knows for sure, but as a capital manager, you've got to place your bets to a certain extent. The spirit of my question was just, Are you guys increasing your bond exposure in anticipation of lower rates over the next couple of years now, or are you waiting and seeing? Well, we did a little bit a month ago. Whenever that was, we bought the five-year new treasury issuance. It went at issuance actually at 5%. So we did do that. We're waiting to see, though. We may add more.

But we'll see. You know what? This is, yields at these levels are very attractive to pension funds, endowment funds, insurance companies. They're also very important for individuals. And I'm gonna go off on a little tangent here. But I was watching a few weeks ago, the Cowboys were, I wrote about this in my article. Actually, it's my article to come out next week, but I'm watching a football game and The Buccaneers are beating the Cowboys by two touchdowns 14 points They have their ball on the goal line getting ready to score. It's fourth down The question is do you kick the field goal and go up by 17 or do you run for to try to get a touchdown and go up by 21? so it's kind of a question of do you want to How much do you want to guarantee the win versus letting the Cowboys back into it? They went for it. They didn't get it. The Cowboys score. There's still like six minutes left. The Cowboys easily could have scored again and won. A lot of that was because the coach didn't just take the easy three points and almost guarantee himself a lead. He tried to be a little more egregious and get seven points, which just changes that percentage of victory a little bit. But in doing so, He let the Cowboys back into the game. The Buccaneers won, but the point is, if you're managing your retirement and you know that if you can make, pick a number, 6% on your money, why not add or at least have some exposure to bonds that pay 5, 5 plus percent? Kick the field goal. Stop worrying

about what the market's going to do. There are times when it's okay to just kick the field goal.

Focus on your goals. And that's what, that's where yields are. I think for a lot of people, it's like, why not reduce a little bit of my risk and just lock in a yield that I know gets me to where I want to be or where I need to be? So we did a little football there, but that's how yields I think we've seen strong buying. We saw incredible 10 and 30 year auctions. about three, four weeks ago when I'm trying to buy municipal bonds half the time. So I'll get an email says, hey, we got, you know, whatever, Minnesota state bonds at this level. I'll write back or I'll call it back. I'll say, hey, can I get, you know, get this many for a few accounts already gone. We were getting a lot of that where I just can't, I couldn't buy bonds. I wanted to buy.

So there's definitely a strong demand when you get over 5%. So I think it's a really good emphasis at the point I'm trying to make here, which is let's say regular investors watching this and they don't have a ton of allocation to bonds right now. And we've talked in the past about how right now this year has been the record level year for equity exposure in all portfolios, especially older peoples. And we've talked about how that's not super prudent. So, you know, people have the opportunity right now to do something about that if they want to, while yields are still pretty high. Now, you said, hey, maybe we go back to a double top or in yields or who knows, maybe yields go even higher than that. But we don't know that for sure. Like you said, and in fact, the trajectory right now seems to be lower yields and you from your The strategic outlook are expecting lower yields over the next couple years. So is this a potential sign that says, hey, look, the train may be starting to leave the station. We may not get another shot at 5% yields. So if you don't already have enough bond exposure in your portfolio, at least give some allocation to it now. And if it goes up, if yields go up even higher, great. You can add to it and lock those in. But if they don't, at least you've locked in around 5%.

yield on some of these instruments to help you, in your words, kick the say field goal and don't worry too much going forward. As long as you can hit your financial goals by the time you want to hit them, then don't try to beat the market every year. Just try to increase your odds of making sure you hit

the goal by your deadline and then enjoy the rest of your life. Don't worry. You're taking on less risk. That's why we invest. You go to the horse track or you bet on sports. to try to make a quick profit, you invest to meet your financial goals. So there are times- As safely as possible. Right, right. So there are times where it's, I'm not saying go all into bonds at 5% and call it a day. What I'm saying is add a little exposure. Think about how it's nice to have that steady rock earning 5% in a portfolio. It just reduces the risk of the other part of the portfolio.

A little math here, Adam, if you, let's just, we'll use round numbers. If you had bought the five year bond at 5%, if yields go up to about 610, 620 in one year, your break even, you get the coupon, you'll lose in price, you'll basically earn zero. If yields drop to 4%, you'll get your 5% coupon and you'll make four, four and a half percent, you'll make called 9%. So your risk reward was on a 1% move 9%, 0%, or if it goes nowhere about 5%. So that's a nice skew. But now consider that if yields go to 6%, the economy is probably toast. We're probably looking at disinflation because the economic demand will start really becoming problematic. You're talking about more financial pressures on these companies that have to borrow money.

So 6% begets 4%. So even if you have that year where you make nothing, you're actually in a good position to get a better position for it to reverse. Even more so, while it is starting to reverse from 6% because it's weighing on the economy, the equity market's probably not doing very well. That's a great point, too. So as the bonds start recovering, you're recovering, collecting your income, and you're watching all the equity holders around you take it in the shorts. Right. And the other side of it, let's say yields go to 2%. You do really well on your bond. My guess is stocks are really struggling. There's something going on. The economy is really, really getting hit. Earnings are probably getting hit. Stocks are probably getting hit. You can sell your bonds.

and you can buy stocks that are now on sale. So, you know, you put all that together and yes, yields can rise. But again, even if they rise a percent, you break even on the five year. You know, on the two year, they probably have to rise two percent, two and a half percent to break even. So, you know, it's just from just a rational point of view, mathematical point of view. It makes

a lot of sense for someone to, you know, for someone that wants part of their portfolio to just be a, you know, a nice solid, not going to say no lose bet, but decent probability of earning a decent return. You're not going to earn 30%, 40% on a five-year bond. But if you can kick off five, six, seven percent between coupon and price, that's a nice bedrock for a portfolio.

Okay. So just to make this meaningful for folks. So for better or worse, a lot of investors don't have nearly as much experience bond investing as they do in stocks. For a lot of people, bonds require some math. And when it gets mathy, I start to not really be able to understand it, which I get. But at the same time, the math isn't really that hard, folks. We're still talking about addition, subtraction, multiplication, division. It's not calculus here. But if somebody just wants to sit down with an expert to say, hey, look, just walk me through what would make sense for me right now, given my goals and my specific situation, obviously that's something that you and the team at RA can do for them, right? Absolutely. Please give us a call. We'd be happy to talk to you about it.

Alright, so obviously folks if you want to do that just fill out the very short form at thoughtfulmoney.com and the team there at REA or whomever you're matched with will be happy to help you walk through all that. And then just lastly on this, we don't know where yields are going but you basically just outlined that the downside risks from here seem not nearly as much as the potential safety and potential upside that you could see here. So The spirit of my question was sort of like is this one of those you're hearing like the the whistle at the train station that the train might be leaving soon So if you're not already on it at least get something think about getting some exposure now Possibly again with that risk-reward skew It's not the end of the world if you get on the train now and it goes backwards a little bit And you can even add there if you have you know some word right now at that time. Absolutely. So it's look good I'm not definitively saying that yields have peaked. And they certainly could go higher. But again, higher yields beget lower yields. And if, look, if yields keep going to 7%, 8%, we got much bigger problems. The economy, right? So again, that can happen. Highly doubtful. Then you start talking about...

disinflation, deflation, and your real yield is unbelievable. The Fed probably steps in, the Treasury does what they can do. So there is downside. I'm not saying there's side. If you hold it to maturity, you're going to make 5% a year. But I hear you saying through all this is just the outlook for bonds looks pretty good for all those reasons. So yeah, if you don't, if you don't have exposure to them right now, do so. But yeah, I mean, if the Fed, if it goes up so high that we're having all those issues that you're mentioning, you know, the great part about these bonds, and right now too, is you don't have to go out to 30 years in duration, right? You can go out to, you know, three years, five years and still get pretty close to what the tenure or more is offering. And let's say it goes against you, right? Well, you just hold it to maturity. It's like you're going to get your money back and you're going to get paid. So you're not going to be losing. And if we get to the point where it becomes calamitous and we get a big central banker response, you know, there'll be the flight to safety and then yields might get pounded down to three less than that. And if so, not only are you getting paid, a very attractive yield giving what yields are we doing in that environment.

but you're beginning a really material price appreciation on these things. So it kind of seems if you play this smartly, your worst case scenario just might be, all right, I got to wait three years or five years to get my principal back and get paid along the way. Field goal isn't always sexy, but if it wins the game, it wins the game. Right. It's Super Bowl rings. The Super Bowl ring doesn't matter how you win it, right? Yeah. Yeah. Okay. Um, last thing on bonds, um, yeah, I had been talking a couple of weeks ago about, um, how muni bonds were starting to look pretty attractive. And I was asking around who I should interview for muni bonds. And Lance said, oh, you should get Michael Aboitz. He's like the master of munis. So two questions for you. Can you give us just a high level take on what you see right now in terms of the opportunity in munis? And then secondly, is that enough? Or is this a topic that we could do a full standalone video on? Yeah.

I've traded bonds. I've managed big institutional bond portfolios. I understand bonds inside and out. The only difference between a muni bond and a corporate bond is there's a lot of differences. But at the highest level, it's just the issuer of the bond is a municipality, whether it's a state or a town or some other entity. When you trade them, they're a little different because

their tax deferred so if you really want to get into the weeds on municipals I would talk to someone that really trades them inside and out but you know from someone that fully understands the market you can pick up additional yield over treasuries just like corporates the one thing you have to be a little careful on is it's much easier to sell a corporate bond than a municipal. It's not hard to sell a municipal bond, but there's a wider bid offer spread. So it means when you go to sell it, you may not get the price you want on a municipal bond. It's a much tighter bid spread on corporate bonds. You'll get very close to the price you want. And treasuries, there's almost no bid offer spread. So there's a little bit of illiquidity in municipal bonds. But like corporate bonds, So you can take a treasury at 5%, maybe you can buy a high grade corporate bond at 530 or municipal bond when you add in the tax benefit at 530, 540. They're all worth considering. But you're also taking credit risk. And by that, I'm not saying that the corporate bond or municipal will go bankrupt, but if corporate spreads widen. So if the difference between a muni and the Treasury or the corporate and the Treasury widen out, it could widen out like this. Treasury yields go down, municipal bonds yields go up. You may be right to be in bonds, but in the wrong bonds. So that's where credit spreads, and we've been talking about that more and more recently, are incredibly important to follow. And they have been widening in general recently, correct?

They have, and I can show it in a little bit when I start sharing my screen, but munis tend to track corporates to some degree. So a lot of people look at corporate spreads as kind of a proxy for municipals, for bank loans, for other sources of credit to understand what's going on with yields at the actual, so from an economy point of view. Who cares where the tenure yield is? I want to know where mortgage rates are, where auto rates are, corporate loans, bank loans. That's what drives the economy. So that's where the spread is important. Five-year treasuries at five doesn't tell me where IBM can borrow or where Montgomery County, Texas can borrow or where pick the issue or can borrow. So that's where that spread is so important.

that spread can tell you a lot about our financial conditions getting more restricted or more or easier. So we pay close attention to that. And it's also a gauge of liquidity. And actually, if you want, we can just why don't I pull that page up, share that page. And so what I am going to show you here is.

Coming from our new sympathizer, we updated it. I'm not sure you've seen it, Adam. Last has shown one or two deep views of it, but we haven't spent much time with it yet. Maybe we'll go through credit spreads. I can show you a little bit about what's going on in the markets in general afterwards. This is corporate credit spreads, and this is an index.

Where I'm at now are triple B bonds. Everything above triple B, triple B and above is considered investment grade. Below it is considered high yield or junk. Triple B is kind of like the S and P 500 of the corporate bond market. That's, you know, if you had to go to a desert island and only had one piece of corporate bond data, it would be triple B. So what this is showing us is that the spread over the treasury, Same maturity treasury as the index. It's about 5 years is 100 is 1.16% 116 basis points. So. To the right, we can see what. That alone means nothing, right? We need it in context. So over the last three months, it's in the basically the upper end of the range, the 98.5 percentile. It's about as high as it's been. But when you scroll back over time, over five years, it's about average. It's about in the 50th percentile. And going back 20 years, it's only in the, it's in the bottom 15th percentile. And we can, I'm sorry, I was, yeah. So let's click on that.

And we can graph these. So here's triple B. This is the spread over the last three years. And you can see, to your point, they've been rising. They were 95 in September, and now they're 116. So they're up 20 basis points or so. But when you look at that graph, that short-term graph, it's like, okay, they're up. But even just back in... But the tariffs, they got up to 140, 150. Now, if we look back over time on the right, you could see that you need a microscope here to see that it's even ticked up. Now, a lot of that is because the whole Y axis is so skewed from the financial crisis. Let's just look at 10-year. That backs that financial crisis out. You can see it is increasing, but this is nothing to be concerned about yet. Kind of a normal variation. We should keep an eye on it because it is increasing. What is a little more disturbing is triple C. So this is the junkiest of the junk. And to be fair, it's not the most liquid. There aren't that many bonds in it. And a couple bonds have a problem. It can skew the whole index. But you could see that we've had a significant increase.

in triple C yields, that's been materializing actually for a while here. And even when we look at over 10 years, it's not just, you don't need a microscope. You can see it pretty clearly. Yeah, I mean, it's basically the second highest in the dataset, more or less. Right, since COVID. But again, you back at the financial crisis, and you can see these spreads could blow out a lot more. And 20 years, it's in the 88th percentile. So it's pretty high. And Mike was starting to wrap. So we looked at triple B, not a problem. And who knows what's going to happen from here. But is it generally, with credit spreads, a contagion effect where it's the worst debt that starts failing? You're reading my mind.

You're reading my mind. So what I was going to show next is, if this is a problem, you'd start seeing it rise from the bottom up. So single B, double B, you would start to see those spreads rise. And if you look single B, again, it's in the upper, it's basically at the highest range in the last year. Five years, it's a little above average. And 20 years, it's 26%. So it's in a lower quartile. But when you look at the three-year, this looks a little different than triple B. It's rising more. And you can see it here on the 15-year graph, whereas on triple B, you couldn't really see it. The other way to look at it is here. These are the spreads. So to make it easy, this bottom 1272, that's the spread of triple C over triple A.

treasuries anymore, now we're comparing bonds to bonds to see how that contagion is happening. Are those lower credit qualities increasing more in yield than the higher credit qualities? So if you look over here, you could see over the last four weeks, triple C has gone up, let's just look at this, first triple B has gone up 54 basis points. But what we've just started to see over the last week or two is that now single B is starting to have to increase. About two weeks ago, these numbers were all low single digits. So we're starting to see a little bit in single B territory. You can see double B still negligible. So that's something we're keeping a close eye on to see if this is spreading.

That's a concern and it feeds liquidity. It's a gauge of liquidity. So from there, we created a new liquidity gauge, which is right here. And right now it's slightly towards tighter liquidity, not very concerning. But what we do want to note is that you could see a month ago, down here, it was 523. So

it's moving to the left. And as credit spreads blow out, you would expect it to move further to the left, correct? Potentially. There's eight factors in there. It's things like credit spreads. It's overnight borrowing rates. So there's these financial banking, it's reserves. It's banking issues and then some market issues like bond yields, dollar. price, trends, and volatility of the dollar and bonds along with kind of that banking financial aspect. Okay. But all other things being held even if credit spreads rise, it pulls it to the left. Okay. Yes. So when we diagnose why has this been weakening, this really all comes more towards the financial banking, the financial plumbing of the system is...

This is not alarmist, but showing some signs of liquidity strain. So for instance, bank reserves have dipped below 3 trillion, which is the level of comfort for the Fed. Not much below 3 trillion, but it has dipped below. So bank reserves are a little weak, and that just means banks are not as easily able to make loans as they were. That has an economic impact and a financial markets impact. There's kind of two overnight borrowing rates. One is which the Fed targets, the Fed funds rate, and the other is the SOFR rate. It's the old LIBOR rate. And SOFR is collateralized borrowing. So you have treasury collateral backing alone. In theory, a bank would rather take a SOFR loan because that's collateral than a uncollateralized Fed funds rate.

And because of that, they tend to trade at the same level. Recently, the collateralized rate has been 5 to 10 basis points above the uncollateralized Fed funds rate. Not a big deal. Something we're watching. So, you know, you're starting to see just a little bit of a liquidity squeeze, which should be, that's kind of what the Fed is engineering. They're trying to take some liquidity out of the market, trying to reduce demand. So, again, this is not, doesn't keep us up at night. The credit spreads don't keep us up at night, but I guess the way to say it is I look at it every day now versus just checking in on it once every few days or a week. It's just...

You know a something to watch And Mike let's just say the contagion all of a sudden really starts ramping up What would that influence you to do? So this is part of what happened in 2019 right when we talk about those Lance and I had a good analogy we said Some guy comes to our house and says, hey, can I borrow 10,000? And you say, no. And then he says, I'll park my

Maserati in your driveway and it's all yours until I pay you back. And you say, absolutely. But the way the market was treating that is they were saying, well, we want to charge you 7% instead of what should be 5%. There's something wrong. People just don't have the money to lend.

That's where you have to be careful. And in 2019, we saw that happening. We were reducing our equity exposure. We weren't smart enough to know that COVID was a thing, but we did see that liquidity in the system was drying up. We watched how the Fed lowered Fed funds, instituted a QE of sorts to try to fix that liquidity problem. Things seem very mundane talking about collateralized versus uncollateralized borrowing overnight or what's single be single be or double be bonds doing versus double a bonds, but they really provide insight into the foundation of markets. It's money, right? Everything is all about money and the cost of borrowing. We're very credit driven society economy. So. Just any insight you can get into what's going on there. Are there stresses that are brewing? Are there just things we just need to keep an eye on because they're acting up a little? So yes, it ultimately could impact what we do on our portfolios. But right now, they're just, let's look at it daily instead of weekly. You're not ringing the bell, but you are monitoring more closely. And you shared the key thing, which is that they really started blowing up meaningfully, you would then be thinking about reducing equity exposure based upon the non-context of the higher cost of money. Okay, so we got on this credit spread topic because we were talking about munis. So we can bring it back to munis. I guess just at a high level, does this remain an attractive environment to consider municipal bonds in?

Absolutely, but just be careful. Munis tend not to default. They default at a much lower rate than corporates, but every bond that's on a treasury has default risk. You have credit issues with municipals. Again, they may not default, but if there's worries or concerns, those yields could go much higher and you may not get the desired price changes. They'll still possibly mature. but there is some volatility in the price. If you're living in a state like Maryland where I live with an income tax, you want to buy Maryland bonds or whatever state you're in because you get that benefit as well. Most likely, I certainly know about my county and the financial health a lot more than I do about.

Name a county in Nebraska or Wyoming or a utility district in Minnesota. So, you know, it also goes to that whole just know what you're buying. So, yes, municipals, there are opportunities here, but just know what you're buying. When you look at the yield, look at it on a tax equivalent yield. So you're going to see yields that are about three and a half percent. You're going to say, why would I buy that? But when you factor out the tax benefit, it gets you the five, five and a half, whatever the yield may be. And so this is the tax equivalent yield, right? You want to be comparing that versus just owning a regular treasury or whatever. So again, just to make sure folks understand, if you own a municipal bond, It is exempt from federal capital gains taxes. It's exempt from federal tax on your income. Correct. Am I right about the capital gains or not? I want to make sure I didn't miss it. Like when you sell the bond. Yeah, I think you still have capital gains. You still have capital gains. Okay. But on a state level, you also, if you live in that state.

Right. So to your point about Maryland, not only if I buy a Maryland municipal bond, not only is it exempt from federal taxes on the income, the income is also exempt from state income taxes. Now, somebody who lives say in Florida or Texas or Tennessee or in my home state of Nevada. Buy whatever you want. Sorry. you can buy munis anywhere, right? Because you don't have to worry about the state tax part because your state doesn't charge state income tax. So you can really cherry pick. You can look for the best of the best. Now, to your point, Michael, about, I don't know anything about counties in Nebraska, can you, like, confirms like RAA help you do the research to say, hey, we've We think these are some of the best of the best out there, and we've looked enough into the risk of this particular municipality to feel comfortable recommending this muni. We have tools that help us analyze the bonds we own, the bonds that we may buy, but to be clear, it's a somewhat opaque. That's why all things being equal on a corporate versus muni, I'd rather buy a corporate.

SCC filing, the documents, just everything is just out there. Very easy to get your hands on. We have tools. We use them. We're very comfortable with our municipal investments. We're very comfortable buying them. But it's just a, it's not as clean a market as corporates. At the right spread, it makes a ton of sense to corporates at the same spread. because of the information,

because of it's just very hard to track a water district in Ohio. If you live in California, that's why you have to think about all these things before you just say, I'm going to buy a muni. Right. And that's kind of where I'm going on this is if there are advantages to owning munis right now and you haven't invested in them before, you probably want to.

work under the guidance of somebody who knows how to value this market and do the due diligence and do the research, given that it is more opaque than just buying, say, a publicly traded corporate bond. So that's kind of the message I'm trying to get out there. Yeah, Adam, I'm not dodging your question. Yes, we can certainly help. We have tools. We can do it. Just give us a call. Right. Or, I mean, look, if there's a better solution out there, let's direct people to it. But I think the answer is, is you want to talk to a firm that has in-house expertise in buying these things. It sounds like our area is one of them. Yes. Okay. All right. So I skipped from stocks to bonds, but I forgot to ask you to look at any TA if you've got any easy access to it. Just as we're looking at the markets after yesterday, how much technical damage may have been done? What are some of the key indicators you're looking at going forward?

So let's go back Okay, so here's SPY surrogate for the S&P 500 One of the most important things to note here This whatever color you want to call that that brownish box The market has gone nowhere since early May right we Yeah, well literally now after yesterday Right, but you know even before that we had these four days in early August where the market had a rally But if you kind of strip out those four days, this would almost look like a straight line. Now, beneath the surface, there have been a large amount of stocks gaining and falling and then flipping around. I did some work. There have been 60% of S&P 500 stocks that at some point this year have been 20% below their peak level of the year. So according to some, that's a bear market. 60% of stocks have been in a bear market.

this year and the index is telling you nothing. So as much as you want to pay attention to the S&P, you also need to pay a lot of attention to the sectors and to the stocks and what's going on beneath the surface. I think that this year has been more important than other years. I just want to pause there for a second because this is very validating of what you and Lance

and many others have been saying on this channel for the past couple of years is that we are highly likely entering an environment where the passive, set it and forget it investing strategy that worked great over the previous 15 years is likely not going to work as well as an active strategy. And this box that you've drawn here is a great example of that. Passive investors, your return right now is zero.

But if you've been following the active approach of firms like yours, Michael, where you guys have been trying to ride those capital rotations between growth and value, you guys haven't actually been able to get a positive return over that period, correct? Right. Right. And May 7th, we're at the same exact price level today as we were on May 7th on the S&P 500. But going back to this, you can see, I'm sure Lance, Lance talks about this a lot, these white lines of the Bollinger bands. They got very tight, meaning there's very little volatility. That's when you expect things to break out to some degree. We had a little bit of that. We're now trading well below three Bollinger bands, even though I don't show it here. We're sitting on a 200-day move and average the blue line. The 50 days, this yellow line.

So we're at a point where you'd like to see a bounce we're getting a little bounce today. You can see it Zoom in you see a little more, but it pales in comparison to yesterday RSI got very oversold. You know if you go back and look The last time it was oversold was before that four-day rally We got a little rally at this one and we got a much bigger one here. So The market got very oversold yesterday due for a technical bounce. But the question will be, can it hold on to its 200-day moving average? I think that's kind of the key level to keep an eye on going forward, at least for the next few days to a week. Can we retake the 50-day, or will we go back up to the 50 and bounce off it? Those are kind of your two lines in the sand for now.

And I just want to note, you know, you look at this chart, when you go outside of the Bollinger bands, you tend not to stay there for very long. So, you know, looking at March, we were, we were out of them for maybe like a month or so, but we were really kind of skirting along the bottom. And then we went back into the channel in August, we got above it for a week or so, and then we went back in. So much more often than not, when you punch through the bands like we have now, you generally go back inside

them. So I'm going to guess you would say technically there's a bias to, you know, this market we're covering at least enough or going flat for a while long enough that it gets back in with the Bollinger Bands. We're to break the 200 moving day average soon. I would assume that would be a really bad sign that would basically say there's something going on here that is breaking the normal relationship. Would you agree? Yes, but keep in mind with the Bollinger Bands like right where my my cursor is, the Bollinger Band expanded. So that lower band was declining. The market was kind of sticking alongside the Bollinger Band, right? To your rule, doesn't really get too far below it, but the line's declining. That's not necessarily a good thing. So the question is, is this line, see a little decline here? If this keeps going and we follow it lower, right? That's the Bollinger Band isn't necessarily helping you.

But yeah, we really want to stay above the 200 day moving average, but you can see the MACD is getting, it can certainly be more oversold. It's getting decently oversold here, along with the RSI and Williams. So there should be some sort of balance. I guess the question is what happens? How far does that balance take us and what happens if it fades? Can we hold on to the 200? Yeah, okay. Well, again, just to sort of put a bow on this from our earlier conversation, it sounds like you think, look, yesterday was probably a confluence of some one-off things like a big firm or two getting caught off sides. Markets pretty technically oversold here. Probably going to bounce back a bit over the next couple of days. We'll see. But your bias is right now, short of any other data coming in, I think the market could still pretty much have a decent end of the year. Yeah, that's my bias. Again, you know, bias gets thrown out the window, technicals take precedent. So bias is nice. Look, I think my Washington commanders are going to win every week. That doesn't really get me very far. No, but as a portfolio manager, you have a bias of where things are going to head, and then you are watching these technicals to see if that's proving out the bias or not, right? Right, right. So Adam, I kind of want to show you this stuff.

This is pretty interesting. So this is a market style grid. So You have value core and growth large cap mid cap small cap and we're using ETFs to show us what those sectors are doing today For instance growth is up one and a half percent large cap value is basically flat on the day But let's go back 20

days. So Look at this large cap growth is down 10 percent value has been up, right? It's a that's a stark difference over just 20 trading days. And you can see as you go from mid cap to small cap, those gains are actually a little better. So, you know, we go down here. So today, technology communications are leading the way staples are really the only red sector of few sectors close to zero. The S&P up.

almost a percent, but let's back that down 20 days. The S&P was down 5%. If you had put all your money in conservative sectors, healthcare, staples, real estate, let's just say putting those three, you're up 9% for the 20-day period. If you put it on tech, you're down 18%. That's why, like we said, the market's been relatively flat. There's been a ton of churn. sometimes healthcare staples leading the way, sometimes technology leading the way. So trying to, I'm not saying go all into healthcare or all into technology, but shifting your portfolio towards what looks to be undervalued and getting it out of things that are overvalued has been very helpful. in managing portfolios for the last few years, but it's become more, more so this year. Much more so this year, yeah. And I feel like I'm making this video, this week's video into a continued commercial for you and your services here. But that's great visualization of what you've been telling us. And, you know, I think for, if you're a really engaged DIY investor, this simple visor tool is super useful in staying on top of those flows, that rotation.

and trying to position yourself on the right side of them. For the average person who's got a job and a family, it feels like it's a full-time job to try to stay on top of these capital flows. That might not be really practical for most regular retail investors. But the fact that you guys are living and breathing this, you can, OK, great, outsource that. Let me rely on Michael and Lance to be the one to surf these inflows and outflows from these different sectors. And I can get on and focus on my life and maybe focus on making the money to give to them to ride this. But if this is going to be one of the key winning strategies going forward for the foreseeable future to be on the right side of these capital rotations, You know, having this type of information, again, whether you're going to own it as a DIY investor and watch it all the time or whether you're going to leverage a firm like yours that is doing that, it seems like a really potentially smart thing to be doing. Yeah, I agree. And this, you know, this gives you the tools if you want to do

it. If nothing else, it shows you some of the tools that we use to make our decisions.

I'm going to show off our wares one more, and then I promise I'll stop sharing my screens here. So this is really interesting. So about five years ago, we created this absolute relative grid framework. This is at a sector level. So let's just look at XLV health care. What we want to do is compute two scores. So the absolute score what we're doing is we're taking the stock price we run it through about 13 technical models and we basically from all those models however bought or however sold is it. Then we do those same using all those same models, but we say instead of using the price of XLV, let's use the price ratio of XLV to the market, to the S&P 500, and we create a ratio. And basically we run that ratio through the same exact analysis. And what we get is how overbought or how oversold is it on both an absolute and relative basis. And right now you can see health, not surprisingly, healthcare and staples are very overbought.

XLK technology very oversold. What we have found is, and this is a new feature, we can create custom lists. So I created this one for you, Adam. Thank you. It's large cap value, VTV and mega cap growth. So it's a very good indicator of the growth value. trade that's been going on. And you can see value is decently overbought, large cap, mega cap growth, getting very oversold. What we can do though now is, first of all, we can see, so I just put the tails on it. Where has it been, can go daily, get sloppy, but on a weekly basis, how have they moved over the last six or seven weeks? that I'm on, you could see that mega cap has gone from being very overvalued to being very undervalued and VTV is almost going in the opposite direction. We can now get... And with trail just FYI when I was talking earlier about some people saying starting to stick their necks out and say that the bubble is over in tech or has burst, this trajectory is a big reason why, right? It's been kind of a relentless grinding downwards.

Right, so let's just focus on this, right? Right now, this is just mega cap growth. On October 1st, it was here. It was very overbought relative to the market and just the price itself, we would have said it's getting overbought here. Probably has a high RSI, high MACD that may have been flipping above its moving averages. And you can see it's just a steady deterioration,

both its absolute score and its relative score. And then at the same time, value has kind of done the opposite. Its absolute score from October 1 started improving, and then starting October 8, it really started gaining against the S&P 500. So what we can do from this is, and this is really cool, we can animate it.

And you can, we're going to go back to September 10th and we can just watch a video of Megadeli. A value beat the pants out of Megacat tech. Well, watch how they behave. Notice how they're almost moving in opposite directions. When one goes down, one goes up, one goes the other way. That just shows you how well negatively correlated they are. Yeah. And eventually they're going to end where we just showed them. But that's the point is that they're behaving opposite of each other. So ideally you want to buy the one that's most oversold and sell the one that's most overbought. And this is hard to see. But if you look at the last move, this was yesterday for the most part. VTV moved to the left. It's absolute score weakened. It traded poorly.

But it's relative score increase because it beat the S&P 500. MGK also traded to a left. It's absolute score deteriorated. But it also underperformed S&P. So it went downward. It downward sloped. So I know that's hard to see, but just an interesting tidbit. So there's a lot you can take from this, right? One is the flows from value and tech. And you want to be on the right side of them. But another thing is that they don't live in these quadrants for too long, especially the more you get towards the corner of each. These are extremes, and extremes are called extremes for a reason. They don't last for very long. So I'm assuming here at some point you're getting ready for this to start switching. Well, on Monday, we traded. We have a model that drives off this.

Same concept that uses a different set of technical indicators, but it told us to buy growth cell value. And we did that. We have our factor rotation model does that. That's the whole basis for the factor rotation model, but we use it in our equity and sector models as well. in an equity model, it's buying individual stocks or selling other individual stocks that reflect those themes, same in the sector, but at a sector level. Okay. I guess you're maybe wishing you'd waited a week before making that switch, just given what

happened to growth yesterday. But the day before growth killed it. Yeah. Right? I mean, it was really especially mega cap growth, Amazon, Microsoft, those guys were up 5, 6, 7%. So what we found is that our model can be a little bit early, but it's been incredibly accurate. Yeah, I was just busting your chops, but nothing can top tick with precision every time. I'm curious though, how has this performed this year? Because this is a relatively new model for you guys, right? Yeah, so we can go to our portfolios page.

And we started it this year. It's up 26% this year. The S&P is up 7.5%, 8%. OK, so it really has worked. Yeah, it's really worked. Now, bear in mind that it's a 100% stock index. It doesn't have bonds. If we think the market's going to collapse, it's going to still own 100% stocks. Oh, it's going to ask that. Its goal is to beat the S&P 500. If the S&P 500 is down 60% and this is down 50%, it did a great job. You may not be happy with it, but it did a great job because its purpose is to just beat the market. Okay, that's actually a really great clarification where if you like this approach, you shouldn't just say, oh, I'm going to put all my money in this portfolio. You want to balance this with other strategies in your portfolio.

Right. And that's why we factor it into our equity and ETF portfolios. Conceptually, it works, but in those portfolios, we'll sell stocks, we'll reduce risk, we'll add hedges, we'll add bonds, we'll do other things to protect that downside. The factor rotation model will switch between growth and value when appropriate. Wow. Yeah, that really is killing it this year, especially relative to the other portfolios that are here. Yep. Well remember again it's all equity. These have bonds in them. This is dividend focused. The other thing is we have these thematic portfolios and regardless of whether you invest in them, which you can, they give us a little insight into what's going on in the market. So if you look at the P&L today, I just sorted it. AI growth focus small and mid caps are kind of leading the way.

High dividend is down, all weather, which is a conservative model is down slightly, international is flat. So, you know, these kind of give you a nice, just kind of view as to what... Yeah, which themes are playing well. Yeah. Yeah. Energy's doing well, et cetera. Scroll this up to the top for a second because I just want to drive one point home too. So your equity portfolio is

60-40, right? So 60% equities, 40% bonds, right? So someone might look at this and say, year to date, 7.1. Yeah, it's doing about as well as the general market, a little bit less. So why would I want to be in that portfolio? And that's just in the general market. And the reason is, is that 40. It's the bonds part of it that are giving you a lot of safety in that portfolio and diversification.

meaning that portfolio achieved about the same return as the S&P this year, but with a lot less risk. Right. Taking, yeah, I'm not going to say 40% less risk, but about that. Yeah. So that's a key thing to keep in mind. I know we say this a lot, but I can't hammer it enough, which is your goal as an investor is to be able to hit your life funding targets. I want to retire by this date. I want to buy a house by this date. support my children by this date with this much money. Your goal is to hit those goals by that date with the least amount of risk possible. And that's why a lot of these diversification strategies are so important. And everybody just tends to focus on, yeah, but what did it do last year? You can't just look at that. You have to look at the return versus the risk it took to get there. The great point. It's called the sharp ratio in financial geek terms. It's basically the return over the risk that you took.

So, you know, the return versus the S&P 500 is somewhat similar, but we did it with taking much less risk. And that's what really matters. Yeah. Okay. All right. Well, Michael, this whole new simplisor thing is looking fantastic. I got to get you or Lance to just do like a full walkthrough of it in one of the upcoming market recaps, just to show everybody the bells and whistles. Whenever you want. Okay, is it ready? Is it at the point where you guys can- It's out there already. Yeah, it's being, it's, we, it went public on Monday. Oh, okay, great. Well, fantastic. So yeah, folks, if you're interested in SimpliBizR, go check it out right now. But yeah, maybe next week, whether it's you or Lance, we can devote some time to just walking through all the major elements of it for folks to go explore and play around with and take advantage of. Okay, we're at the trades part. I think you've, you've already largely told us most of what you've done, I think, right? It's, it's was basically positioning more to get back into growth. Was this just, well, how did you do that, I guess? Were you selling the value names? Were you just taking some cash on the sidelines and putting that more into growth? How

were you doing it? So in the sector model, we designate roughly a third of the portfolio to two ETFs, one value, one growth. And when our model switches, it switches.

So it goes from 80-20 growth to value to 80-20 value to growth when it switches. So we basically brought growth up, we brought value down, we sold value, we bought growth. In the equity model, we do it more with stocks. So, in stocks we sold, we took profits on a few of the stocks. The rest we just rebalanced lower. So, over time when value outperforms the market and outperforms growth, what was 4% of your portfolio can become 4.5 or 5%. So, we sell it back down to our stated model weight of 4%. So, we did a combination of actually reducing weight and taking profits. both, and in some just rebalancing. On the buy side, we rebalanced upwards. They had gone below their weights. We bought up and we added 1% of Palo Alto Networks, kicking ourselves for selling it in the first place six months ago whenever we sold it. Cyber security, looking for an opportunity to add to it.

So, but another net we added to five or six of the high growth names. We're generally sticking in, sticking with the big companies, the hyperscalers. We do have some GEV, we have some exposure to the build out, but an AMD with the chips, but we're largely, a lot of that growth exposure is in the big hyperscalers. Okay. All right. Well, thanks so much for sharing that. And of course, folks, we'll keep tabs every week on what RA is doing here. All right, Michael, don't have too much of a rant here to wrap things up with, but I got a little bit of one. Anything else going on in the markets or the decisions that you guys are making at RA right now that we should let folks know about that I haven't thought to ask you about? No. I mean, we covered a lot of ground today.

Obviously the election is top of mind right now and what that means for markets. Let it play out. Will Trump work with Congress and get things done? Will he fight him? That's a big issue. How are both parties going to posture? Because now, starting now, the presidential election campaign has kind of kicked off. So how are both parties going to posture for that? Will they live up to their campaign promises or Is it just hogwash like normal? I was going to say, that's the easy one to answer, which I think on both sides,

the answer is no. They rarely, almost never do. Right. So, you know, I think they said things that make sight people, that make concern people. Most often, none of it gets done. So on either side, temper your emotions. But no, we're just kind of figuring it out how to go to your end.

keeping an eye on our technicals, keeping an eye on liquidity, credit spreads, that kind of stuff. And we'll see how it plays out. OK. All right. We're very well said. OK, so let's get to the rant real quick and then wrap things up. So I think especially after all the hot emotions that an election can release, Drive people emotionally so much they trigger people they make people elated obviously depending on how all the results go But we really don't have any control over that right and so you know my advice to people is don't get too wrapped up in it and again focus on the things that really matter and as I say often it's not money money is a means to the important things in life, but it is not an end in and of itself and the things that really matter are quality relationships, purpose and health. And two things happened this week recently that are in the past 24 hours that I've just chosen to put aside all the drama and the angst of what's going on in the world that I can't control and focus on the things that I can control. So on the quality relationship side, last night, I went and had dinner with David Hay, who's on this channel every so often, who's one of my favorite people to interview, very smart, very well-experienced investor and capital manager, but also just one of the nicest guys in this space, I'll say. And he and his wife were passing through the Tahoe area, and so I drove out and had dinner with them last night. Boy, it was just so wonderful. It's just so great to spend time with Somebody who already consider a pretty good friend from the interactions that we've had in the years But we were able to deepen that relationship because I'd never met him in person before and this was you know the first time I was actually you know able to sit down with him and folks he is even nicer and even smarter in person really just a total gentleman a total class act and so The return I got off of that investment of time was I mean, far better than what I could have gotten in the markets this week. So I just encourage people to really lean into investing in those things that matter. I just list it off. But if it's a friend you haven't spent time with in a long time, or somebody you want to get to know better, I'm just coming off the high of that experience. And of course, the monetary cost is tiny.

compared to the psychic value that you get out of strengthening these quality relationships. On the second side, we were actually driving back from dinner and we were talking to my daughter who's in college. She's a design major and she went in with a certain type of design that she was interested in and while getting exposed to a whole bunch of other different types of designs. There's this thing called experiential design. which in a lot of ways is like putting on creating experiences in some ways it kind of bleeds over into event production. But she really likes bringing people together around some sort of shared experience. And she also, she's a big musical file. And for those that have watched this channel for...

any length of time, they've probably heard me talk about the Johnson O'Connor aptitudes tests that I highly recommend everybody take, but I think it's one of the best things you can do for somebody who's in their later teens or early 20s and helping them understand themselves better so that they can make more informed choices about what to do with their lives. And one of the things that came out of that aptitudes testing for her as they told her in her you get a readout like an hour and a half, you sit down with a researcher who kind of helps you understand all the results. They said, Charlotte, you are wired for sound. It's just people like you become audio engineers or whatever. They just sound and music is just a huge way in which they process the world around them. So she's a big music fan, as I mentioned, and she's into creating experiences. So she's been...

working hard to create her own kind of music festival around Davis, which actually is making a lot of progress. I'm super proud of her for it. But she also reached out to Bottle Rock. And I don't know if you know Bottle Rock, Michael, but if anyone lives in the West Coast, particularly California, it's this really big music festival up in Napa. It happens every year and they get, you know, just massive. names of performers and stuff. It's a really fun, amazing music festival. And she just knocked on their door. And she's been knocking on it for about a year and a half saying, I'm really interested in design. I'm really interested in music. I would like to help you out in some way, shape, or form. And they finally reached out to her and said, yeah, we've been noticing you. And thanks for being persistent. And we basically want you to develop the VIP experience at this coming years.

So she's going to work with their team to build and design all this. And she's, again, just a junior in college at this point in time. It's fantastic work experience for her. You know, it's really showing initiative. It's going to look great on her resume, but she's just in heaven because this is kind of her ideal thing that she would, you know, if she woke up in the morning and they said, you could do anything today in the world, what would it be? It would be something like this. So I'm sharing this because it's a parent. I'm proud of her, obviously. But it's a really great example of somebody stepping into that meaning, that purpose part of the three things that I said were really important. And so my hope here is that if anybody takes any inspiration from that that they'd like to reach out and strive to do something that is really meaningful for them. But I know there's a lot of parents that are in the audience here. And hopefully it gives you some inspiration about maybe a story you can tell your kids and say, hey, look, if you're just proactive and persistent and you're aligning that persistency with the things that you're naturally talented and good at, doors start to open in life. So anyways, I'll end it there. But again, I'm just trying to emphasize here on folks, especially after a really hyper partisan and emotional and maybe kind of friction filled time like we are right now. Try to put that aside and just focus on making investments in the things in your life that matter the most. And again, investing in quality people, investing in purpose, or I didn't talk about it at this time, but investing in your health, those all provide outsized returns. And in many cases, you don't have to spend much or any money to get those. So that's my rant, Michael. Amen.

You want to end it there? No, when you were, I'm not going to, I'll try to keep this quick. When you were talking about your daughter, I was actually thinking about Mike, I have three kids. Two kids are chasing the American dream. They're both in marketing, one in Chicago, one in New York, and they're worried about their careers and they're not, they like their jobs. They don't love them. They're worried about, you know, making money and they're getting caught up in the same trap that We all get, you know, so many people get caught up. My third son is now in Paraguay. He joined the Peace Corps. He's been there for almost two months. The kid, if he's lucky, you know, I mean, he'll do well, you know, doing what he's doing, but he's not gonna make a lot of money and he's probably gonna be the happiest of the three because he's doing what he wants to do and...

I think that's the investment you're talking about. Investing things that really make life worth living and make you happy. And it's hard to do what he's doing. That's not me. I can't go to do that. And my older two kids certainly can't. And they're in awe of him that he can do this, that he can live in someone's house in the middle of nowhere. just do this but it goes to the point I think if you can do what what you really want like your daughter she you know whether she gets paid or not to do that she's gonna love it and that's more important than making a ton of money and being glued to the markets and you know just live life.

So totally agree and look I can talk forever about this stuff So I'll try not to but you know as I always say if you focus on those three things quality relationships purpose and health The money may come the money may go you don't really have a ton of control over that I mean I feel like you increase your odds of financial success by playing to your strengths But you know sometimes in life just things happen right bets go against you or things just don't materialize the way that you think But if you wake up and spend your day living life in the way that fulfills you, when you go to bed, whether you've made the money you were hoping to or not, as long as you can meet your basic needs, you're winning life. Exactly. And look, it can be a marketing. There's nothing against your other kids. The key thing that I want to encourage is just invest in the time to develop the self-understanding.

so that you can live authentically. You can know how you're wired. You can know what fulfills you and just go pursue that stuff. And again, you're likely to outperform versus everybody else because you are playing to your strengths and to your passions. And again, whether it makes a ton of money or not, that's not nearly as important as you feeling like you're living the life that you were placed here to live. So anyway, folks, I hope everybody takes inspiration from this. And for those of you that have not heard me talk about the Johnson O'Connor aptitudes test in the past. If you go to the Thoughtful Money YouTube page and you type in, well, I'm not sure if I've done this video since I've been with Thoughtful Money, but if you go in and type, Adam Taggart Johnson O'Connor, it'll pop up. You'll see me interview the executive director of the testing service.

everything that it provides. And if you think that's something your kids might be interested in, I'm on record saying, I think it's one of the best investments you can make in their futures. So, all right, we'll end it there. Michael, thank you so much, my friend. Folks, please thank Michael for coming in, especially as Lance couldn't be here today. Thank him by hitting the like button and then clicking on the subscribe button below as well as that little bell icon right next to it. We talked a lot about a lot of things in today's video where, you know, you can really see the immediate benefit of working with a good financial advisor who has the expertise on the issues that we were talking about, whether it's riding the capital transitions between growth and value, whether it's helping you assess muni bonds, whatever it is. If you'd like to get some help from a good professional financial advisor on a lot of these issues or just anything about your financial makeup, and remember, we're getting close to the end of the year.

There's a lot of things that you need to take care of at the end of the year and I don't want you to wait after Thanksgiving because it's a mad dash then. It's a nightmare trying to get that stuff done in a panic at the end of the year. So anyways, if you don't already have a good financial advisor providing all that guidance for you, consider talking to one of the ones that helpful money endorses. These are the firms you see with me often on this channel. To do that, just fill out the very short form at thoughtfulmoney.com. and the firm you're matched with will be in touch with you right away. If you want to talk to Michael and the team at RIA, you can say that specifically. I want to talk to them, so just put me with them. As a reminder, these are totally free. There's no commitments involved. It's just a service these firms offer to be as helpful to as many investors as they can. Michael, my friend, have yourself a great week. Whether it's you or Lance next week, we will have RIA again on here soon, making sense of things for people. Thanks so much for doing what you're doing. You're welcome. Thanks, Adam. All right. And everybody else, thanks so much for watching.